

GV499 Dissertation

MSc Public Policy and Administration

Department of Government

London School of Economics

**Captured by Design: Central Bank Independence as
Structural Regulatory Capture**

Candidate Number: XXXXX

Word Count: XXXXX

May 5, 2026

Abstract

My abstract goes here

Contents

1	Introduction	1
2	Background and Theory	1
2.1	Regulatory Capture	1
2.2	Central Bank Independence Literature	1
2.2.1	Economics Literature on Central Bank Independence	1
3	Analysis	4
3.1	Normative Loading in the Theoretical Literature	4

1 Introduction

2 Background and Theory

I build a basic

2.1 Regulatory Capture

Conceptualizations of regulatory capture are often rooted in the seminal work by Stigler, 1971.

2.2 Central Bank Independence Literature

The first evidence for structural regulatory capture should be in the epistemic environment that CBI is built upon. In particular, there is a significant economics literature defending CBI. Many policymakers in central banking that this is a well-established consensus, and few mainstream policymakers openly criticize this consensus. If central bank independence reflects the interest of finance, then, principally, those interests should be reflected in assumptions that govern empirical and theoretical analysis of central banking.

There is little cross-discipline analysis on central bank independence. While the economics literature generally promotes findings regarding the merits of CBI, political science literature is more critical, arguing about the distributional consequences of monetary policy and the implications of CBI on democratic institutions. In this paper, I apply the findings of political science literature to economics literature.

2.2.1 Economics Literature on Central Bank Independence

The theoretical foundation for central bank independence lies in a few seminal works. Kydland and Prescott (1977) were the first to apply the time-inconsistency and credible commitment public policy problem to the inflation-unemployment tradeoff detailed

in economics literature. In brief, in a model economy with rational agents and a government seeking to maximize some “social objective function,” governments will naturally have a temptation to implement a surprise expansionary (inflationary) policy that temporarily pushes down unemployment (Kydland & Prescott, 1977, p. 473). Rational agents predict this action, so they set their inflation expectations higher, meaning that the surprise action the government would implement would trigger even higher inflation. This principle makes credible commitment by governments challenging, so the end result is heightened inflation expectations from agents. Inflation becomes anchored at a level that is higher than what the social objective function deems optimal.

Barro and Gordon (1983) apply this logic directly to monetary authorities. First, note that they (along with much other theoretical literature on monetary policy) assume that monetary policy is neutral in the long-run. This principally means that while the amount of currency in circulation may increase with expansionary monetary policy, the relative price between goods should, in theory, not change after a change in monetary policy (Downey, 2025, pp. 49–50). Given this, Barro and Gordon (1983) suggests that monetary policy can only reap benefits if there is a short-run surprise, before prices can readjust. However, rational agents incorporate this in their inflation expectations, pushing up inflation without reaping any rewards if monetary policy is conducted under discretion. While a central bank may seek to preserve its reputation, thereby creating some credibility regarding its policies, this is only a partial substitute. Barro and Gordon (1983) argue that the optimal setup is a central bank that is entirely constrained by rules, thereby establishing credibility and anchoring inflation expectations of agents. Rogoff (1985, p. 1177) provide several possible solutions, including removing appointing a “conservative central banker” who is “known to place a greater weight on inflation stabilization” than the social objective function would suggest. They will be less tempted to implement inflationary policy, and rational agents set inflation expectations lower as a consequence. While they acknowledge that this may not be theoretical optimal, the conservative central banker argument underpins much of the empirical literature defending CBI.

Empirical analysis on the merits of central bank independence originates with Grilli et al. (1991), Cukierman et al. (1992), and Alesina and Summers (1993). Generally, these papers take observable characteristics of the institutional setup of central banks, compile these observable metrics into an index, and then produce a statistical model measuring how different levels of CBI influence economic variables like output and inflation. This general approach has been repeated and adjusted in the literature, most recently, by Romelli (2022) and Adrian et al. (2024). Arguing for the merits of a given index or strategy is beyond the scope of this paper, but they all share a basic theoretical basis in the arguments initially presented by Kydland and Prescott (1977), Barro and Gordon (1983), and Rogoff (1985). I will present additional analysis on these empirics in section XXXX. However, these empirical papers generally find one result, namely that the politicization of monetary policy raises inflation without boosting economic growth (Cochrane et al., 2025, p. 4).

Crucially, the literature distinguishes between operational independence and goal independence, and this is important for the Fed. While political institutions should determine the goals of monetary policy (US Congress for the goals of the Federal Reserve), the Fed must remain operationally independent in achieving those goals (Cochrane et al., 2025; Debelle & Fischer, 1994, p. 3). Today, the Federal Reserve has a tripartite mandate of promoting the goals of “maximum employment, stable prices, and moderate long-term interest rates,” set about the a 1977 amendment to the Federal Reserve Act passed by Congress. The Federal Reserve colloquially refers to this as the “dual mandate” of stable prices and maximum employment, dropping the moderate long-term interest rate component because of its “redundancy” (Downey, 2025, p. 15).

3 Analysis

3.1 Normative Loading in the Theoretical Literature

Cukierman et al. (1992, p. 357): "In Rogoff's (1985) terminology, the objectives variable measures the strength of the 'conservative bias' of the bank's charter."

Much of this literature is predicated on the idea that monetary policy is neutral in the long-run (Downey, 2025).

Normative loading on the preferences of the optimal objective are prevalent in both papers. In particular, there is a general assumption about what the optimal rate is and that it can be aggregated by the public.

"The indifference curves imply that the socially preferred inflation rate is zero, which seems consistent with the public's preferences. We of course recognize that inflation is a tax on reserves and currency, and a more informed public might prefer some positive or negative inflation rate. If so, x , need only be interpreted as deviation from the optimal rate" (Kydlan & Prescott, 1977, p. 480).

They think "of the monetary authority's objective as reflecting the preferences of the 'representative' private agent. Ultimately, we express this objective as a function of actual and expected rates of inflation" (Barro & Gordon, 1983, p. 102).

References

- Adrian, M. T., Khan, M. A., & Menand, L. (2024). A New Measure of Central Bank Independence [Number: 2024/035]. *IMF Working Papers*.
- Alesina, A., & Summers, L. H. (1993). Central Bank Independence and Macroeconomic Performance: Some Comparative Evidence. *Journal of Money, Credit and Banking*, 25(2), 151–162.
- Barro, R. J., & Gordon, D. B. (1983). Rules, discretion and reputation in a model of monetary policy. *Journal of Monetary Economics*, 12(1), 101–121.
- Cochrane, J. H., Posen, A. S., & Wilcox, D. (2025, December). *Central Bank Independence in Practice* (tech. rep. No. 25-3). Peterson Institute for International Economics. Washington, DC.
- Cukierman, A., Web, S. B., & Neyapti, B. (1992). Measuring the Independence of Central Banks and Its Effect on Policy Outcomes. *The World Bank Economic Review*, 6(3), 353–398.
- Debelle, G., & Fischer, S. (1994). *How independent should a central bank be?* (Tech. rep.) (Volume: 38). Federal Reserve Bank of Boston.
- Downey, L. (2025). The Economic Theory behind Depoliticization. In *Our Money* (pp. 48–72). Princeton University Press.
- Grilli, V., Masciandaro, D., & Tabellini, G. (1991). Political and monetary institutions and public financial policies in the industrial countries. *Economic Policy*, 6(13), 341–392.
- Kydland, F. E., & Prescott, E. C. (1977). Rules Rather than Discretion: The Inconsistency of Optimal Plans. *Journal of Political Economy*, 85(3), 473–491.
- Rogoff, K. (1985). The Optimal Degree of Commitment to an Intermediate Monetary Target. *The Quarterly Journal of Economics*, 100(4), 1169–1189.
- Romelli, D. (2022). The political economy of reforms in Central Bank design: Evidence from a new dataset. *Economic Policy*, 37(112), 641–688.
- Stigler, G. J. (1971). The Theory of Economic Regulation. *The Bell Journal of Economics and Management Science*, 2(1), 3–21.